

problem and partly by the norms, habits, and personal characteristics of the decision maker.

It is often possible to frame a given decision problem in more than one way. Framing effects occur when preferences change as a function of some variation in framing. For example, one prospect can be formulated in two ways: as a gain (“25 percent of crops will be saved if they are provided with fertilizer XYZ”) or as a loss (“75 percent of crops will die without fertilizer XYZ”). Most people in the first case will adopt a gain frame, which generally leads to risk-averse behavior. In the second case—75 percent of crops will die—most people will adopt a loss frame and thereby become more likely to engage in risk-seeking behavior.

Framing bias also encompasses a sub-categorical phenomenon known as *narrow framing*, which occurs when people focus too restrictively on one or two aspects of a situation, excluding other crucial aspects and thus compromising their decision making. For example, take the case of a lawnmower purchase. A consumer working within too narrow a frame of reference might shop for a mower that is fast, while overlooking blade width, fuel economy, and other factors that affect the length of time required to mow a lawn.

PRACTICAL APPLICATION

Decision frames are quite prevalent in the context of investor behavior. Building on the definitions outlined in the preceding section, we can now use our newly acquired insights into framing bias as we consider a typical investor risk tolerance questionnaire. This will demonstrate how framing bias is applied in practice and how advisors should be aware of its effects.

Suppose that an investor completes a risk tolerance questionnaire for the purpose of determining the “risk category” into which he or she falls. The responses the investor selects are highly relevant because the risk category outcome will determine the types of investments that are selected for this individual’s portfolio. Ideally, question phrasing and framing—elements uncorrelated with the investor’s actual level of risk tolerance—should not be factors that affect the questionnaire’s results. Let’s examine some of the material that might appear on a typical risk tolerance questionnaire.

First, suppose that the items on the questionnaire refer to a hypothetical securities portfolio, Portfolio ABC. Over a 10-year period, ABC has historically returned an annual average of 10 percent, with a standard deviation of 15 percent. (Recall that standard deviation quantifies the amount of expected variation in an investment’s performance from year to year.) Basic statistics dictate that 67 percent of ABC’s returns will fall within one standard deviation of the mean, or annual average, return that ABC generates.